

FEDERAL MARITIME COMMISSION, WASHINGTON DC
Office of Administrative Law Judges

Muhammad Rana,
Complainant

V.

Michelle Franklin,
D.B.A "The Right Move Inc,"
Respondent

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)
) Docket No. 19-03
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) Served: February 26, 2020
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BEFORE: Honorable Erin M.WIRTH, *Administrative Law Judge*.

COMPLAINANT'S BRIEF

I. Introduction

The Complainant hereby files his final brief along with his Proposed Finding of Facts and Appendix that are being submitted in separate documents attached / enclosed to this brief. The Complainant is also submitting a Motion to Amend the Complaint in a separate document where the Complainant is requesting to withdraw the allegation that the Respondent violated 46 USC § 41102(c). The Complaint continues to allege that the Respondent violated 46 U.S.C. § 41102(a).

II. Violation of Section 46 USC 41102(a)

46 U.S.C. § 41102(a), [formerly section 10(a)(l) of the Shipping Act] provides that "no person may knowingly and willfully, directly or indirectly, by means of false billing, false classification, false weighing, false report of weight, false measurement, or by any other unjust or unfair device or means obtain or attempt to obtain ocean transportation for property at less than the rates or charges that would otherwise be applicable." The Complainant contends that the evidence of record as reflected in the Proposed Facts and Appendix submitted herewith establishes that Respondent knowingly and willfully by means of an unfair device obtained ocean transportation of property at less than the rates or charges that would otherwise be applicable.

(a) Knowingly and Willfully

Knowingly and willfully has been defined by the U.S. Supreme Court as meaning "purposely or obstinately" and is designed to describe the attitude of a person "who, having free will or choice, either intentionally disregards the statute or is plainly indifferent to its requirements." *United States v. Illinois*

Central Railroad Co., 303 U.S. 239, 242-243 (1938), citing *St. Louis & S.F.R. Co. v. United States*, 169 F. 69, 71 (8th Cir. 1909). Moreover, "a 'pattern of indifference' to the requirements of regulatory law, a 'persistent failure to inform' oneself, 'intentional disregard,' 'wanton disregard,' and, of course, purposeful and obstinate behavior or something akin to 'gross negligence' have all been held to constitute 'knowing and willful' behavior in violation of regulatory statutes." *Ever Freight Int'l Ltd., et al., - Possible Violations of Sections 10(a)(I) of the Shipping Act of 1984*, 28 S.R.R. 329, 333 (ALJ 1998). The Commission, in its analysis of the definition of "knowingly and willfully" within the context of the 1984 Act and its predecessors has rejected the concept that the phrase entails "actual or constructive knowledge that the requirements of the statute were being disregarded. Such a construction would make ignorance of the law a valid defense and substitute some subjective standard whereby actual knowledge of statutory language by a shipper would have to be established before a violation under this section could be found. Congress did not intend to impose such a novel evidentiary requirement." *Pacific Far East Lines - Alleged Rebates to Foremost Dairies, Inc., et al.*, 11 F.M.C. 357, 363-364 (1968). "[T]he term 'knowingly' imports merely perception of the facts necessary to bring the questioned activity within the prohibition of the statute. The term does not require as part of its meaning that there necessarily be knowledge or awareness that such activity is in fact prohibited." *Union Petroleum Corp. v. United States*, 376 F.2d 569, 573 (10th Cir.1967).

The Commission has determined that the "term 'willfully' means that respondent purposely or obstinately intended to perform the unlawful act not necessarily that it did so with the intent of maliciously breaking the law." *Shipman Int'l (Taiwan) Ltd.- Possible Violations of Sections 10(a)(I) of the Shipping Act of 1984*, 28 S.R.R. 100, 109 (ALJ 1998). Moreover, an NVOCC or an OTI is obligated to "educate itself through normal business resources, and repeated failure to do so may indicate that it is acting 'willfully and knowingly' within the meaning of the statute." *Stallion Cargo, Inc. – Possible Violations of Sections 10(a)(1) of the Shipping Act of 1984*, 29 S.R.R. 665,683-84 (FMC 2001).

The Respondent has in different pleadings and filings, over the course of this litigation, mentioned that she has been operating as an OTI since 2011. Surely, the Respondent suspected or reasonably should have known that accepting money from a client and then forwarding the client's cargo without paying for ocean freight is a violation of the law. Moreover, on April 5, 2019, the Complainant cautioned the Respondent that TROY's agent CP World is alleging that by not paying ocean and shipping, the Respondent is engaging in "shipping fraud." See *Complainant's exhibits 18 & 22*. In response to an email the Respondent inquired, "Troy said I am engaged in a shipping fraud?" Here the Respondent is acknowledging that her failure to pay ocean freight entails an inference of unlawful conduct such as fraud. Despite this the Respondent obstinately and recklessly continued to fail to pay ocean freight even after an inference of fraud was made against her. See *Complainant's exhibit 21*.

As used in the plain reading of the statute, the term "knowingly" requires only that the person acted with knowledge of the misconduct. See *United States v. Lange*, 528 F.2d 1280, 1287-89 (5th Cir. 1976). As in other situations, to commit an act "knowingly" is to do so with knowledge or awareness of the facts or situation, and not because of mistake, accident or some other innocent reason. See *Fifth Circuit Pattern Jury Instructions*, § 1.35 (1990). Knowledge of the actual statute governing the

misconduct is not required. The action need not be made with an intent to violate the law. Reckless disregard of whether a conduct is unlawful, or a conscious effort to avoid learning that the action is a violation of the law, can be construed as acting "knowingly." *United States v. Evans*, 559 F.2d 244, 246 (5th Cir. 1977), cert. denied, 434 U.S. 1015 (1978). Proof that the defendant acted with reckless disregard or reckless indifference may therefore satisfy the "knowingly" requirement. See *United States v. Schaffer*, 600 F.2d 1120, 1122 (5th Cir. 1979).

The term "willfully" means no more than that the forbidden act was done deliberately and with knowledge, and does not require proof of evil intent. *McClanahan v. United States*, 230 F.2d 919, 924 (5th Cir. 1955), cert. denied, 352 U.S. 824 (1956); *McBride v. United States*, 225 F.2d 249, 255 (5th Cir. 1955), cert. denied, 350 U.S. 934 (1956). An act is done "willfully" if done voluntarily and intentionally and with the specific intent to do something the law forbids. There is no requirement of showing evil intent in order to prove that the act was done "willfully." See *United States v. Gregg*, 612 F.2d 43, 50-51 (2d Cir. 1979); *American Surety Company v. Sullivan*, 7 F.2d 605, 606 (2d Cir. 1925)(Hand, J.); *United States v. Peltz*, 433 F.2d 48, 54-55 (2d Cir. 1970), cert. denied, 401 U.S. 955 (1971) (involving 15 U.S.C. § 32(a)). See also 1 E. Devitt, C. Blackmar, M. Wolff & K. O'Malley, *Federal Jury Practice and Instructions*, § 17.05 (1992).

The Respondent has been a defendant in a civil litigation involving matters that broadly cover the scope of the numerous Shipping Act violations. *Madhu Sameer v. The Right Move, Michelle Franklin, et al.*, No. 18-16046 (9th Cir. 2019). As such the Respondent must have known or reasonably should have known her obligations under law with regards to paying for ocean freight after accepting money from the Complainant.

Furthermore, the Respondent has refused to provide the Complainant with communication records between the Respondent and TROY Container Line, Ltd. See *Respondent's response to Complainant's discovery*. The Respondent was able to convince and induce TROY to transport Complainant's cargo without prepayment. This communication where the Respondent convinces and induces TROY to ship without prepayment would have revealed that the Respondent acted knowingly, willfully and deliberately. *This fact is supported by Respondent's failure to respond to Complainant's discovery: Request for the Production of Documents 1 and 2.*

To justify why Respondent failed to pay ocean freight charges, the Respondent falsely claimed that she paid a third party to pay TROY for ocean and shipping. The Respondent made up this fictitious story to try and convince the Complainant to pay ocean and shipping dues in Karachi, so she could keep the ocean and shipping charges for herself. It is highly unlikely and would have been unreasonable for the Respondent to pay a third party when all she had to do was pay TROY directly. This demonstrates that the Respondent knowingly and willfully acted in bad faith and deceit showing utter disregard for the law. See *Complainant's exhibits 23 and 24. This fact is also supported by Respondent's failure to respond to Complainant's discovery: Request for the Production of Documents 6 through 9 and interrogatories 2 through 11.*

In this case, the Respondent knew the gravity of the situation involving non-payment of ocean freight by the Respondent, but simply chose to disregard the law and her actions readily meet the requisites for acting knowingly and willfully as those terms are understood by the courts and the Commission.

(b) Unjust or Unfair Means

The element of unjust and unfair means has been clarified by 46 CFR § 545.2 which states in pertinent part that “an essential element of the offense is use of an unjust or unfair device or means. In the absence of evidence of bad faith or deceit, the Federal Maritime Commission will not infer an unjust or unfair device or means from the failure of a shipper to pay ocean freight. An unjust or unfair device or means could be inferred where a shipper, in bad faith, induced the carrier to relinquish its possessory lien on the cargo and to transport the cargo without prepayment by the shipper of the applicable freight charges.”

There is an abundance of evidence in the record that establishes fraud and deceit by the Respondent. In February 2019, the Respondent knew or reasonably suspected that her company may close soon, but failed to disclose this material information to the complainant when they entered into an agreement. In an email to the Complainant dated April 9, 2019, the Respondent stated that “the booking was done under another company license, because I knew we may get to the point we have to close.” *See Complainant’s exhibit 27.* This is evidence of bad faith, fraud and deceit. This was a deliberate act of omission by the Respondent who knowingly and recklessly misled the Complainant just to obtain Complainant’s business. This information was material because had the complainant known that the respondent's company may "have to close," he would not have entered into an agreement with the respondent, nor would have sought respondent's services. Furthermore, the booking was done under another company's license, which was not relayed to the complainant prior to the agreement, even though in all the correspondence, the respondent used her company's credentials.

The Respondent was required to pay TROY port of loading and ocean freight shipping charges, and by failing to pay TROY; the Respondent in bad faith, breached the shipping agreement between the Complainant and the Respondent. All Respondent had to do was pay \$1040.00 to TROY via credit card, money order, cashier’s check, money transfer or a regular check. The Respondent had already received \$2595.00, so she had the money to pay TROY, but failed to do so in bad faith. The Respondent knowingly, willingly, acting in bad faith and for monetary gain did not pay TROY Container Line, Ltd, the ocean freight charges despite being paid \$2595.00 by the Complainant. *See Complainant’s exhibits 1 and 8. This fact is also supported by Respondent’s failure to respond to Complainant’s discovery: Request for the Production of Documents 1 through 9 and interrogatories 2 through 11.*

The Respondent in bad faith, using unfair means and unfair device encouraged TROY Container Line, Ltd, to collect ocean freight payment from the Complainant on the ground in Karachi, Pakistan, so she would not have to pay TROY in order to profit from this arrangement. *This fact is supported by*

Respondent's failure to respond to Complainant's discovery: Request for the Production of Documents 1 and 2. See also Complainant's exhibit 8.

Despite not paying Ocean Freight dues, from April 5, 2019 until April 10, 2019, the Respondent in bad faith continued to deceitfully claim via email that she had paid the shipping dues albeit via a third party and that the payment should clear soon. However, when requested by the Complainant, the Respondent in bad faith did not provide any evidence of payment and stated in an email that, "I paid the fees you have to believe me." *See Complainant's exhibits 23 and 24. This fact is also supported by Respondent's failure to respond to Complainant's discovery: Request for the Production of Documents 6 through 9 and interrogatories 2 through 11.*

The Respondent acting in bad faith falsely claimed that she paid a third party to pay TROY for ocean and shipping. The Respondent made up this fictitious story to try and convince the Complainant to pay ocean and shipping dues in Karachi, so she could keep the ocean and shipping charges for herself. It is highly unlikely and would have been unreasonable for the Respondent to pay a third party when all she had to do was pay TROY directly. This demonstrates that the Respondent knowingly and willfully acted in bad faith and deceit. *See Complainant's exhibits 23 and 24. This fact is also supported by Respondent's failure to respond to Complainant's discovery: Request for the Production of Documents 6 through 9 and interrogatories 2 through 11.*

The Complainant made non-credible, inconsistent and deceitful claims about ocean payment.

- i. In emails to the Complainant, the Respondent claimed that she paid the ocean to a "third party" who in turn was going to pay TROY; and that for some unknown reason the "third party" never paid TROY, but issued a refund to the Respondent. *See Complainant's exhibits 23, 24, 28 and 33.*
- ii. In her official Response to the Complaint, the Respondent told the Honorable Judge that "the payment that was submitted was applied towards an old shipment that was still pending." It is to be noted that in her official response to the complaint, the Respondent made no mention of a "third party" that was used to pay TROY. *See Respondent's response to the complaint dated 8/13/19.*
- iii. Finally in her response to Complainant's discovery, the Respondent admitted that "the Ocean was not paid. That is agreeable." *See Respondent's response to Complainant's discovery.*

The Respondent's contradictory statements here are clear evidence of deceit and bad faith. *This fact is also supported by Respondent's failure to respond to Complainant's discovery: Request for the Production of Documents 1 through 9 and interrogatories 2 through 11.*

During this time the Respondent in bad faith repeatedly made false and misleading statements about making payment to the Complainant.

- i. On April 5, 2019, the Respondent stated in an email that "I talked to the company and they are sending the payment today, but it may take a few days. *See Complainant's exhibit 24.*

- ii. On April 9, 2019 the respondent stated in emails:
 - a. “The company I paid the money to, needs to know if to refund me, so I can refund you.” *See Complainant’s exhibit 28.*
 - b. “I strongly suggest you pay directly and I will refund you, probably no late than Friday.” *See Complainant’s exhibit 30.*
 - c. “I have been asking them to pay it for the last 4 days, they should be able to pay it today or tomorrow.” *See Complainant’s exhibit 32.*
- iii. On April 10, 2019 in another email the respondent stated, “I am confirming that the money was sent back to me, and I should be able to pay by Friday.” *See Complainant’s exhibit 33.*
- iv. On April 17, 2019 the respondent stated, “I will send you a refund shortly.” *See Complainant’s exhibit 34.*
- v. On April 19, 2019 the respondent stated that “the payment will be concluded in a day or 2, of course I will try to pay as much as I am responsible for.” *See Complainant’s exhibit 35.*
- vi. On May 30, 2019, the Respondent stated, “a wire of \$1025 was initiated yesterday. You should have the payment tomorrow in the bank account you have provided. The amount is the ocean cost that we failed to pay in time.” This was clearly a false statement made knowingly, willfully and in bad faith because a wire transfer was never initiated by the Respondent. *See Complainant’s exhibit 36.*

The Respondent profited financially by not paying ocean and shipping charges to TROY Container Line. Ltd. The Complainant paid the Respondent \$2595.00, from that amount the Respondent was to pay TROY Container Line, Ltd. \$1040.00. Because the Respondent did not pay TROY, the Respondent was able to profit financially in the amount of \$1040.00. This fact is undisputed that the Respondent did not pay TROY for ocean and shipping nor did the Respondent pay Complainant. *This fact is also supported by Respondent’s failure to respond to Complainant’s discovery: Request for the Production of Documents 1 through 9 and interrogatories 2 through 11.*

On August 13, 2019, the Respondent – in bad faith – made false statements to the Honorable Judge. In the Respondent’s, 8/13/2019, response to the Complaint, the Respondent claimed that “Mr. Rana was one of the last few customers we had to finish before we chose to close the company and surrender our FMC license.” This was a false statement because the respondent did not voluntarily surrender her license. According to the Commission website, the respondent’s license was revoked because of failure to maintain a valid bond. On the website page, in a long list of OTI’s who voluntarily surrendered their license, the Respondent’s license is listed as being revoked. Clearly the Respondent must have known about the revocation, but chose to willfully, knowingly and in bad faith lie about it to the Honorable Judge. See <https://www.fmc.gov/oti/revocations-july-12-2019/>. *See also Complainant’s exhibit 37.*

On 8/13/2019, the Respondent also told the Honorable Judge that “finally Mr. Rana provided me a family member bank details to wire the money.” This is clearly a false statement made deliberately by the Respondent to mislead the Honorable Judge. Complainant never provided a family member’s bank details to the Respondent. The Complainant provided the Respondent with his bank details at least twice. *See Complainant’s exhibits 25 and 26.* Furthermore, in an email dated May 30, 2019, the Respondent told the Complainant that “you should have the payment tomorrow in the bank account you have provided.” Clearly, here the Respondent is acknowledging that she had the Complainant’s bank details. *See Complainant’s exhibit 36.*

On 8/13/2019, the Respondent also told the Honorable Judge that “Shipment arrived on April 3, On April 5th customer agreed to pay the ocean at destination, but only paid it on April 10 resulting in additional delays.”

- 1) Here first the Complainant would like to point out that the Respondent on March 13, 2019 told the Complainant in an email that the “shipment is due in Karachi by April 3.” *See Complainant’s exhibit 38.* However, the shipment actually arrived in Karachi on March 31, 2019. *See Complainant’s exhibit 39.*
- 2) Second the Complainant never agreed to pay ocean on April 5, 2019 as falsely alleged by the Respondent. The Complainant only agreed to pay the ocean in Karachi on April 9, 2019, after being offered to do so by TROY’s agent C.P World. *See Complainant’s exhibit 8.* The Complainant did so under duress in order for C.P World to release Complainant’s belongings of sentimental value and important documents released, that were in the cargo being withheld by C.P World. *See Complainant’s exhibit 40.*

On 8/13/2019, the Respondent also told the Honorable Judge that “Mr. Rana kept asking me to pay his port fees, which are excluded and would have applied regardless.” The Complainant would like to point out that this is another false statement made by the Respondent in bad faith, because never has the Complainant ever asked the respondent to pay port fees. The Complainant paid the port fees out of pocket and is not asking for the port fees in this Complaint either. Also the Complainant never asked for demurrage before this complaint and never did the Respondent offer to pay some of the demurrage prior to settlement discussion in November 2019. *See Complainant’s exhibit 40.*

Complainant’s Proposed Facts 6, 8, 9, 12, 13, 14, 25, 26, & 27, all establish bad faith, deceit or fraud by the Respondent. This coupled with the fact that the Respondent was in default during the early stages of this Complaint and has failed to honor Complainant’s discovery all point to Respondent employing unjust and unfair means in order to get out of paying for Complainant’s ocean freight.

Even assuming arguendo there was no fraud of deceit present, the element of ‘unfair and unjust means’ is satisfied by the fact that TROY transported Complainant’s cargo without prepayment from the Respondent. For this to happen, the Respondent must have convinced and induced TROY to transport cargo without prepayment. Consistent with 46 CRF § 545.2 the act of inducing TROY to transport Complainant’s cargo without prepayment establishes unfair and unjust means. *This fact is supported by*

Respondent's failure to respond to Complainant's discovery: Request for the Production of Documents 1 and 2.

(c) Obtain Transportation for Property at Less than the Properly Applicable Rates

The Respondent has already admitted to this element and acknowledged that "ocean was not paid, that is agreeable." *See Respondent's response to Complainant's discovery.*

The evidence in the record is sufficient to establish that the Respondent knowingly and willfully obtained transportation for Complainant's property at less than the properly applicable rates, by unjust or unfair device or means. Considering the totality of the circumstances, including Respondent's failure to honor Complainant's discovery, the Complainant has established by a preponderance of the evidence that the Respondent violated 46 USC 41102(a) when it continued to failed to pay for Complainant's ocean freight.

III. Complainant's Damages and Monetary Losses

Respondent's failure to pay the ocean freight set in motion a series of events and circumstances that caused financial damages / losses to the complainant. *See Complainant's exhibit 41 page 3.*

The complainant had to additionally pay, TROY's agent CP World, out of pocket \$1,107.97 (157,000 Rupees) owed by the respondent to get the cargo released. *See Complainant's exhibit 8 and 9.*

The complainant had to pay an additional \$55.00 per day container demurrage / detention charge for 17 days (April 7th through April 23rd), a total of \$935.00 (132,536.00 rupees); this was beyond the 7-day free time, because of the delay caused by the respondent's failure to pay ocean freight. *See <https://www.maersk.com/en/local-information/pakistan/import>. See also Complainant's exhibits 10, 11, 12, 13 and 41 page 3.*

The complainant had intended to stay in Karachi for only 3 nights for the customs clearance process. However, due respondent's failure to pay the shipping, the complainant had to stay at a hotel in Karachi for additional 18 nights, and pay a total of 388,500 Rupees in hotel lodging at a rate of 18,500 rupees per night. For the additional 18 nights lodging the total comes out to 333,000 rupees or \$2,350.03. *See Complainant's exhibit 14 and 41 page 3.*

The complainant had to pay taxi charges at the least in the amount of about \$7.76 (1100 Rupees) per day or \$116.40 for 15 days to get to and from MAERSK Office, CP World Office, Western Union, Port Qasim and hotel etc.

The complainant had intended to stay in Karachi for only 3 days. However, due respondent's failure to pay shipping, the complainant had to stay at a hotel in Karachi for additional 18 days resulting in meals and incidental expenses (M&IE) incurred by the complainant. According to the U.S State Department the M&IE rate set for Karachi is \$82 per day. The total M&IE comes out to 18 X \$82 =

\$1,476.00. See

https://aoprals.state.gov/web920/per_diem_action.asp?MenuHide=1&CountryCode=1166

In April 2019, the price of dollar in the open market against the rupee fluctuated between 141 to 142 rupees per dollar. Therefore, the exchange rate used in this calculation is 141.70 rupees per dollar, which was also the rate used by MAERSK shipping company. See *Complainant's exhibit 41, page 3*.

<u>Respondent's shipping dues paid by the complainant</u>	<u>\$1,107.97</u>
<u>Container charges caused by respondent's delay</u>	<u>\$935.00</u>
<u>Complainant's taxi charges</u>	<u>\$116.40</u>
<u>Complainant's lodging for 18 nights in Karachi</u>	<u>\$2,350.00</u>
<u>Cornplainant's M&IE for 18 days in Karachi</u>	<u>\$1,476.00</u>
Total Compensatory Damages/ Losses: \$5,985.40	

The Commission has the legal authority to grant the complainant the relief sought pursuant to Commission rules; based on authorities granted to the Commission under 46 U.S.C. § 41102(a)

The Complainant did not know about the eligibility filing a claim against the Respondent's surety bond until recently. In April 2019, the Complainant after thorough research of commission's website decided that the best option left for the Complainant is to file a Formal Complaint. Hence, the Complainant has not filed a claim against Respondent's surety bond, nor does the Complainant know how to file a claim against a surety bond.

IV. Respondent's Personal Liability: Piercing the Corporate Veil

The circumstances present here reflect the classic conditions when it comes to the application of Piercing the Corporate Veil doctrine. In this case Michelle Franklin was the sole owner of the The Right Move, Inc, she operated this company under her personal supervision and control and participated in all their activities. There is no evidence that The RightMove, Inc has a separate bank account. Based on the record the Respondent used her personal bank account, and commingled funds in company and personal accounts. Michelle Franklin's use of The Right Move, Inc, plainly shows that it was simply an extension of herself. See *Complainant's exhibit 3; these facts are also supported by Respondent's failure to respond to Complainant's discovery: Request for the Production of Documents 10 through 15*. Imposition of personal liability on the person Michelle Franklin is applicable based on case law. See *Williamson v. Recovery Ltd. P 'ship*, 542F.3d 43, 53 (2nd Cir. 2008); *Ariel Mar. Group. Inc.*, 24 S.R.R. 517, 530 (1987).

The federal standard for when it is proper to pierce the corporate veil is notably imprecise and fact intensive. *Bd. of Locomotive Engineers v. Springfield Terminal Ry. Co.*, 210 F.3d 18, 26 (1st Cir. 2000); *Note, Piercing the Corporate Law Veil: The Alter Ego Doctrine Under Federal Common Law*, 95 Harv. L. Rev. 853 (1982). Among the factors the Commission has considered in piercing the corporate veil are: "the nature of the corporate ownership and control, the failure to maintain adequate corporate

records and minutes and the failure to follow corporate formalities, including the approval of stock issues by an independent board of directors." *Rose International*, 29 S.R.R. at 166; *Ariel Mar. Group, Inc.*, 24 S.R.R. 517,530 (FMC 1987).

The respondent does business as "The Right Move, Inc" and based on the record, it is hard to distinguish between the company and the Respondent. The Respondent Michelle Franklin during the course of her transactions with the complainant acted at the owner, director, representative, sole spokesperson to the point that a distinction could not be drawn between the Right Move Inc and the Michelle Franklin. The Respondent in this case is "Michelle Franklin doing business as The Right Move Inc." Clearly based on the record there is no distinction here because of the complete control Michelle Franklin had over every single transaction, to the point no corporate formalities existed.

The most powerful evidence here that pierces the corporate veil beyond any doubt is the fact that the Respondent used her personal bank account to receive payment in the form of a wire transfer. On February 13, 2019, the respondent told the Complainant to wire transfer payment to her personal bank account which was under her name "Michelle Franklin." On February 14, 2019, the money was transferred to respondent Michelle Franklin's personal account. *See Complainant's exhibit 3.*

The record establishes that the Respondent Michelle Franklin is or was the sole owner of The Right Move, Inc. *See Respondent's response to Complainant's discovery, document request 12.* The record also establishes that from February 2019 to date, the person Michelle Franklin has been and still is the sole spokesperson, representative, owner, advocate and employee of The Right move, Inc.

The Right Move Inc has failed to observe corporate formalities in terms of documentation. *This fact is supported by Respondent's failure to respond to Complainant's discovery: Request for the Production of Documents 10 through 15.*

The assets and finances of the person Respondent Michelle Franklin and The Right Move Inc, intermingled on a normal and routine basis. The assets and the finances of the Right Move Inc and the person Michelle Franklin are or were one and the same. *See Complainant's exhibit 3. This fact is supported by Respondent's failure to respond to Complainant's discovery: Request for the Production of Documents 10 through 15.*

The Right Move Inc is not a separate entity from Michelle Franklin, and that The Right Move Inc, is or was taxed through Michelle Franklin's personal tax returns. *This fact is supported by Respondent's failure to respond to Complainant's discovery: Request for the Production of Documents 13 through 15.* The person Michelle Franklin treated the funds and assets of the Right Move Inc as her own. *See Complainant's exhibit 3. This fact is supported by Respondent's failure to respond to Complainant's discovery: Request for the Production of Documents 13 through 15.* The Right Move Inc, was being used by Michelle Franklin as a façade for her personal financial dealings and not as a separate corporate entity. *See Complainant's exhibit 3. This fact is supported by Respondent's failure to respond to Complainant's discovery: Request for the Production of Documents 10 through 15.*

This coupled with the fact that the Respondent engaged in fraud, deceit, omission and concealment establishes that the Respondent is personally liable for damages and monetary losses incurred by the Complainant. Therefore, the respondent should be held personally liable in as much as is recoverable from respondent's personal assets, beyond the respondent's surety bond.

V. RELIEF SOUGHT

The complainant requests the Commission to issue a summary judgement if possible or hold a hearing if required. The complainant prays that the Commission rules against the Respondent as follows:

- a. Enter a judgement that the acts and practices of the respondent were in violation of 46 U.S. Code § 41102(a).
- b. Award the complainant \$5,985.40 in compensatory damages / losses.
- c. Award the complainant \$73.00 international mail and courier charges used in filing this complaint from Pakistan.
- d. Award the complainant \$2595.00 in restitution.
- e. Issue further order(s) as the Commission determines to be proper.

Respectfully submitted by,



Muhammad J. Rana (Complainant)

I hereby certify that, on February 26, 2020, a copy of the foregoing attached Motion was sent to the following by the method indicated below:

FMC Administrative Judge
Erin M. Wirth

VIA UPS: Federal Maritime Commission
800 North Capitol Street, N.W
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Michelle Franklin
D.B.A The Right Move, Inc.

VIA Electronic Mail:
mfranklin@therightmove4u.com



Muhammad J. Rana (Complainant)